in a more effective way. The staff in an intervention, who expect such review, will be more accountable and hence do better work.

Ex post review is highly relevant in the main track of public policy: using state coercive power to change the behaviour of private persons in ways that address market failure. However, at the same time, we have to be careful when we think of crisis-management actions.

Hindsight is 20/20 vision. It is important to respect the view of the world as seen contemporaneously by the crisis manager. Many actions are taken, at the peak of a crisis, to stave off bad outcomes. Ex post, these may appear to be a waste. We should put ourselves in the shoes of the decision maker, when doing ex post analysis, and respect the fact that many of the actions that appear irrelevant in hindsight were actually expenditures on risk management.

The relevant comparison is not the overall expenditures in the path taken, but a comparison against the counterfactual, the path not taken, of either doing nothing or undertaking other decisions.

As an example, consider the actions taken by Yashwant Sinha's Ministry of Finance in response to the Unit Trust of India (UTI) crisis. The government paid a fiscal cost by paying out money to UTI unitholders. The government purchased certain securities from the problematic UTI schemes, and placed these into a new organization named Specified Undertaking of the Unit Trust of India (SUUTI). Ex post, we know that when these securities were sold, the government made a tidy profit. This seems like a successful intervention from a simple financial point of view.

Suppose this had not worked out this way. Suppose Nifty had moved in a different way, and the government had suffered a loss when selling off the SUUTI holdings. Would we then excoriate the decision makers of the time, on the grounds that their intervention in the UTI crisis was (ex post) a mistake? This would be an unfair assessment.

It is important to think in the shoes of the policymaker in 2001. A disruptive mess at UTI would have triggered off panic selling by large numbers of small investors. This is the counterfactual of doing nothing, which was on the minds of policymakers in 2001. Even if the SUUTI